Deposit Gone? Sue in Small Claims Court

The Homeowner's Complete Guide to Recovering Stolen Contractor Deposits Through Small Claims Court

You gave someone real money — thousands of dollars — based on a handshake and a promise. They gave you nothing. Worse than nothing: excuses, silence, maybe a half-started job that now sits as a monument to your own gullibility.

You kept the contract. You kept the receipts. You have their texts. And right now, you're sitting on all this evidence, wondering if the whole thing is a lost cause.

It isn't.

Small claims court was built for exactly this situation: ordinary people wronged by ordinary businesses, with dollar amounts that don't justify hiring a lawyer but absolutely justify showing up with paperwork. The process is simpler than you think. The filing fee is lower than you fear. And the judgment — even if the contractor never pays voluntarily — becomes a legal instrument that follows them.

This guide walks you through every step: documenting the fraud, filing correctly the first time, preparing a case you can actually win, and turning a judgment into actual money. No legal jargon. No vague advice. Just the sequence of actions that gets you from "deposit stolen" to "money recovered."

Part 1: Know What Happened to You

Before you file anything, you need to understand exactly what you lost, what evidence you have, and what legal theory will actually support your claim. This isn't just about being organized — it's about building a case that survives scrutiny and gives you the best shot at recovery.

Chapter 1: Calculate Your Exact Loss and Know What You Can Claim

Here's a hard truth: most people who sue in small claims court don't actually know how much they're owed. They know they feel cheated, they know it's "a lot of money," but when they show up to court, they can't itemize their damages with the precision the judge needs to see.

Don't be that person.

Your loss isn't just the deposit. Your actual damages include everything the contractor's failure cost you. Here's how to calculate it properly:

- **Direct deposit amount**: The cash you handed over. If you paid $5,000 upfront, that's your starting point.

- **Additional payments made**: Did you pay for materials separately? Did you make progress payments beyond the deposit? Document every dollar.
- **Out-of-pocket costs you incurred**: Did you have to rent equipment because they never showed? Did you pay someone else to finish emergency work? Did you incur storage fees for materials you had to move?
- **Costs of finding a new contractor**: The time and money spent on new bids, the premium you may have paid to get someone scheduled quickly, any research costs.
- **Difference in contract value**: If you had to hire someone for more than your original contract price to complete the work, that difference is a recoverable damage — assuming you can document it.

What you cannot claim in small claims court:

- Emotional distress. No matter how infuriating this process has been, courts don't award damages for frustration, lost sleep, or anxiety in a typical contract dispute.
- Time off work to pursue this case. Your time has value, but small claims courts don't compensate for your own labor in preparing or attending hearings.
- Consequential damages beyond what the contract contemplated. This is a nuanced legal area, but in general, courts want to restore you to where you would have been if the contract had been performed — not give you a windfall.

The Loss Calculation Worksheet

Before you do anything else, sit down and complete this:

ITEM	AMOUNT	DOCUMENTATION SOURCE
Initial deposit	$	Bank statement, receipt
Additional payments	$	Bank statements, checks
Materials you purchased	$	Invoices, receipts
Emergency repairs needed	$	Invoices
New contractor premium	$	New contract, original contract
Other out-of-pocket costs	$	Receipts
TOTAL LOSS	$	

Once you have this number, you know exactly what you're asking for. This becomes the number on your filing form, the number you state in your demand letter, and the number the judge sees on your claim.

Key Takeaway: Calculate every dollar. Document every item. You can't recover what you can't prove you lost.

Chapter 2: Preserve Every Piece of Evidence Before It Disappears

Your text messages are evidence. So are your emails. So is that voicemail from three weeks ago. But evidence has a way of disappearing — phones get replaced, accounts get deleted, emails get purged.

Right now, while everything is still fresh, you need to take steps to preserve what you have.

Text Messages and WhatsApp Conversations

These are often your strongest evidence — they're timestamped, they show the other person's own words, and they can demonstrate the contractor's excuses, broken promises, and failure to communicate.

Take these steps immediately:

1. **Screenshot each conversation** with the full timestamp visible. On iPhone, press the power button and volume up simultaneously. On Android, press power and volume down. Take separate screenshots of each day's conversation, not one long scrolling capture.

2. **Export the conversation**. Both iPhone and Android have built-in options to export a text conversation. On iPhone, open the conversation, tap the contact's name at the top, scroll down, and select "Export Contact." On Android, tap and hold on the message, select "Forward," and email it to yourself. This creates a timestamped, traceable copy.

3. **Save to two separate locations**. Email the screenshots to yourself and store them in a dedicated folder. Also save them to cloud storage (Google Drive, iCloud). One backup is not enough.

Emails

Forward important emails to a dedicated Gmail address or other email account you control. Create a folder called "Contractor Case" and move everything there. If you used a contractor matching service or platform that has its own message center, take screenshots of those too — platforms sometimes get deleted or contractors get banned, and you want your own copies.

Voicemails

This is where people get sloppy. Voicemails disappear when you delete them or when you change phones.

- **iPhone**: Open the voicemail, tap the share icon (square with an arrow), and email it to yourself, or forward it to your dedicated evidence email address.
- **Android**: The process varies by phone, but generally you can tap and hold the voicemail, select "Share," and send it to your email.
- **If you can't export it**: Call your phone carrier. Some carriers let you request voicemail transcriptions or audio files. It's worth a phone call.

The Written Contract

If you have a signed contract, make three copies: one for the file, one backup in cloud storage, and one printed copy you can hand to the judge on hearing day.

If you don't have a signed contract — if the agreement was entirely verbal or through text messages — that's still fine. Verbal contracts are enforceable. The text messages showing what was agreed to become your "contract." But you'll want to organize them carefully to show the sequence: initial agreement, terms discussed, payment made, work expected.

Missing Documents

If you're missing something important — say, a receipt for a payment you know you made — this is the moment to reconstruct it. Pull your bank statements. If you paid by check, your bank has records. If you paid by wire transfer, the receipt is in your email. If you paid cash, this is harder, which is why you should never pay contractors in cash without a receipt.

What to Request in Writing

If you still have any communication with the contractor — even an ongoing text thread — this is your opportunity to get them to put something in writing that supports your case.

Send a text that says: "As of [date], we paid $[amount] for [scope of work], and the job was supposed to be complete by [date]. Can you confirm your current schedule?"

If they respond with anything that acknowledges the debt, the timeline, or the failure — even an excuse — screenshot it and save it. Courts love written admissions.

Key Takeaway: Evidence is perishable. Screenshot, export, back up, and organize everything today. A week from now is too late.

Chapter 3: Classify the Wrong — Contract Breach, Fraud, or Theft

Not all contractor failures are the same legally, and understanding the nature of what happened to you matters for how you proceed. Small claims court handles contract disputes; criminal theft is handled elsewhere. Here's how to figure out which category you're in.

Contract Breach

This is the most common scenario. The contractor entered into an agreement with you, accepted your payment, and then failed to perform — not because they intended to steal from you, but because they got in over their heads, had a personal crisis, lost a key subcontractor, or simply took on more work than they could handle.

Breach of contract is actionable in small claims court. Your remedy is typically the return of your deposit or the cost of completion — whichever is appropriate.

The key evidence for breach of contract: the contract itself (written or verbal), the payment records, and the contractor's failure to perform as agreed.

Fraud

Fraud is a more serious allegation, and it requires evidence of intent. You have to show that when the contractor took your money, they never intended to do the work. This is different from simply being incompetent or overwhelmed.

Signs of fraud:

- The contractor took multiple deposits from multiple homeowners around the same time and then disappeared
- They made promises they had no ability to keep — claiming to be licensed and bonded when they weren't
- They accepted payment and immediately gave you an excuse for delay that makes no sense
- They don't have a physical business address, a business license, or any verifiable history of doing the type of work they promised
- Multiple people have filed complaints against them with the state licensing board

Fraud can be filed in small claims court as a civil matter, but you can also file a police report. In many states, defrauding a consumer is a criminal offense. Whether the police will pursue it depends on the amount and the evidence, but filing a report creates a paper trail.

Theft

Theft is when someone takes your money with the specific intent to permanently deprive you of it. If the contractor took your deposit and vanished — blocked your number, closed their business, moved out of state — that's theft.

Theft is a criminal matter. File a police report. Contact your state attorney general's consumer protection division. Report them to the state contractor licensing board (if applicable).

Why the Classification Matters

Here's the practical reason for understanding this: small claims court is a civil remedy. Even if you win, the contractor's only obligation is to pay you money. If they don't have money, you still have a judgment you can't collect.

But if what happened was fraud or theft, you have additional paths:

- A criminal complaint may prompt prosecution, which can result in restitution as part of sentencing
- The contractor's license may be revoked, preventing them from victimizing others
- Your state may have a contractor recovery fund you can claim against

The Decision Tree

Answer these questions:

1. Did the contractor perform any work at all?
2. If yes → breach of contract is your primary theory
3. If no → proceed to question 2
4. Do you have evidence they never intended to perform?
5. Screenshots of them advertising jobs that don't exist
6. Multiple victims with similar stories
7. Physical impossibility (they claimed to have expertise they clearly don't)
8. If yes → fraud is likely your theory
9. Did they take your money and vanish with no explanation?
10. If yes → theft is likely, file a police report
11. Did you receive excuses, broken promises, and delay — but the contractor is still reachable?
12. If yes → breach of contract, pursue in small claims court

Know Your Theory

Before you file, you should be able to state in one sentence what the contractor did wrong and why you're owed money. That sentence is what you'll write in your claim. It keeps you focused, and it tells the judge exactly what you're asking for.

Part 2: Know Your Venue

Small claims court isn't one-size-fits-all. The rules, limits, procedures, and even the name of the court vary by state, and sometimes by county within a state. Filing in the wrong place means starting over. Filing with the wrong paperwork means a delay. This section makes sure you get the basics right before you spend $50 to file a claim that gets dismissed.

Chapter 4: Find the Right Court for Your Dollar Amount and Location

Every state sets a maximum amount you can claim in small claims court. Know yours before you do anything else.

Common small claims limits by state:

- **$5,000 or less**: Many states cap claims at $5,000 (California, New York, Texas for individual claims, Florida, Illinois)
- **$7,500 or less**: Some states have slightly higher limits (Michigan, Ohio for most counties)
- **$10,000 or less**: Higher-cap states (Washington, Nevada, Indiana)
- **$15,000 or less**: Some states allow claims up to $15,000 (New Jersey)

Check your state's judicial website or call the clerk's office in the county where you plan to file. This is not a place to guess.

Why Your Amount Matters

If your loss is $7,500 but your state caps small claims at $5,000, you have two options:

1. **File for $5,000** and forfeit the rest — sometimes called "capping your claim." This is common if the extra $2,500 isn't worth hiring a lawyer.

2. **File in regular civil court** with an attorney. This guide is focused on small claims court, so if you're over the limit and can't cap your claim, you'll need to consult a lawyer or legal aid organization.

Where to File: The Venue Question

You generally have three choices for where to file:

1. **Where you live** (the county and city where the project was)
2. **Where the work was supposed to happen** (the property address)
3. **Where the contractor's business is registered or located**

In most cases, you can file in any of these three venues. But the rules vary, and some courts are more convenient than others.

Filing in the county where you live is usually the easiest — it's local, you know where it is, and you'll be more comfortable there. However, if the contractor doesn't do business in that county, service of process may be more complicated.

Filing where the work was located is often the right choice when the contractor lives in a different county but performed work in your county.

Filing where the contractor's business is registered matters most if you think they'll try to claim the court has no jurisdiction.

The Safe Answer: If you're unsure, call the clerk's office in your county courthouse and explain your situation. Tell them you paid a contractor who didn't perform, you live in [your county], the property is in [your county], and ask if you can file there. They will tell you.

What to Bring to the Clerk's Office

When you go to file, you'll need:

- **Your completed claim form** (many courts have a standard form you fill out on-site or download in advance)
- **The amount you're claiming** (from your loss worksheet)
- **The contractor's full legal name and address** (this is critical for service)

- **The property address** where the work was supposed to happen
- **A brief description of what happened** (one paragraph is fine for the form)
- **Filing fee** (typically $30-$100 depending on the claim amount and state)

If you're filing against a business entity (LLC, corporation), you need to know the official business name — not just the contractor's first name. You can look this up on your state's secretary of state business search website.

Key Takeaway: Check your state's claim limit. Know all three venue options. Call the clerk before you go if you're unsure. The courthouse staff can't give legal advice, but they can tell you whether you're in the right place.

Chapter 5: Model the Economics Before You File

Small claims court is affordable, but it's not free. And the filing fee is just the beginning. Before you file, do the math. This chapter helps you decide whether small claims court is the right move — and if it is, helps you understand what recovery actually looks like.

The Direct Costs

- **Filing fee**: $30-$100 in most states. Some counties have lower fees; some have higher.
- **Service of process**: The court needs to formally notify the defendant. This may be done by a sheriff, constable, or private process server. Cost: $25-$75 depending on the method and location.
- **Post-judgment enforcement** (if you win and they don't pay): This may require additional filings, sheriff service, or court proceedings. Budget another $50-$100.

Total direct costs typically run $75-$200.

The Indirect Costs

- **Your time**: Preparing the claim, gathering evidence, showing up to the hearing. Estimate 5-15 hours total for a straightforward case.
- **Taking time off work**: If you have to attend a hearing during business hours, you may lose income.
- **Transportation**: The courthouse, parking, etc.

For most people, this is manageable. The question is whether the potential recovery justifies the effort.

The Recovery Calculator

Answer these questions:

1. **Total loss calculated in Chapter 1**: $___
2. **Filing fee** (check your court): $___
3. **Estimated service cost**: $___
4. **Total direct costs**: $___
5. **Net recovery if you win (loss minus direct costs)**: $___
6. **Hours you expect to spend**: ___
7. **Is net recovery greater than the value of your time?** (Compare to what you'd earn at your hourly rate)

Fee-Shifting Rules

Some states have fee-shifting: if you win, the defendant has to pay your filing fee. This doesn't always happen — it depends on your state's rules and whether the judge orders it. But it's worth knowing.

In states with fee-shifting, winning means you get your filing fee back. In states without it, you don't. This changes your break-even point.

The Demand Letter Option

Before you file, consider sending a formal demand letter. This is a letter — sent via certified mail with return receipt — that explains what you paid, what the contractor failed to do, and what you want (usually your money back within a specific timeframe, typically 14-30 days).

Why do this before filing?

- It costs $10 and takes 20 minutes
- It's required in some states before you can file
- It sometimes works — especially for contractors who are licensed and have a reputation to protect
- Even if it doesn't work, it demonstrates you gave them a chance to resolve this before involving the court

If you send a demand letter and get no response within the deadline, file immediately. Don't give them extra time.

When Small Claims Doesn't Make Financial Sense

Small claims court may not be worth it if:

- Your total loss is under $200 and the filing fee is $50 (you'd spend $50 to recover $200 at best)
- You live in a different state than the contractor and service would be complicated
- The contractor appears to have no assets and no steady income (collecting may be impossible)
- You've already filed a complaint with the state licensing board and that's providing results

If the math doesn't work, consider the demand letter as a low-cost last try, and then move on.

Key Takeaway: Do the math. Calculate your direct costs and net recovery. Send a demand letter before filing if your state doesn't require immediate filing. Make the decision based on economics, not emotion.

Chapter 6: Map the Timeline from Filing to Hearing

Small claims court moves slower than you'd like, but not as slowly as you fear. Here's a realistic timeline of what happens between the day you file and the day you're sitting in front of a judge.

Step 1: Filing and Fee Payment (Day 1)

You go to the clerk's office, submit your claim form and filing fee, and receive a case number. The clerk will give you instructions on what happens next. Pay attention — different courts have different procedures.

Step 2: Service of Process (Days 1-30)

The court needs to formally notify the defendant. This can be done by:

- **Sheriff or constable**: Usually the cheapest option. The sheriff visits the contractor's address and delivers the summons. Expect $25-$50.
- **Private process server**: Faster and more reliable than sheriff service, but costs $50-$100.
- **Certified mail with return receipt**: Some courts allow service by mail. This is the cheapest option but requires the defendant to sign.

The rules for service are strict. The defendant must be served in a specific way — usually in person, at a specific address. If the serve fails, you may have to try again. Keep proof of service — the signed return receipt, the server's affidavit — because you'll need it to prove the court has jurisdiction.

Step 3: The Answer Period (Typically 20-30 Days)

After service, the defendant has a window (usually 20 days) to file a response. They can also file a counterclaim if they think you owe them something — watch for this. If they file a response, the clerk will notify you.

Step 4: The Hearing Date (Typically 30-90 Days After Filing)

Once the response period passes, the court assigns a hearing date. In many courts, you receive this date at filing. In others, you get it by mail. Note it on your calendar.

Hearing dates are often 6-8 weeks out. Plan for this. Don't expect to resolve this in two weeks.

Step 5: The Continuance (Sometimes)

Either party can request a continuance — more time — for good cause. The judge decides whether to grant it. Delays happen. Don't panic, but don't ignore the new date when it's assigned.

Realistic Timeline

Here's a realistic scenario:

- **Week 1**: You file and pay the fee. You arrange service.
- **Weeks 2-4**: Service is completed (or attempted). The contractor receives notice.
- **Weeks 4-6**: The response period passes. No response = you're on the calendar.
- **Weeks 6-8**: Your hearing date arrives by mail or you're told at filing.
- **Week 8-10**: The hearing occurs.
- **Weeks 10-12**: The judge issues a written decision or tells you the verdict on the spot.

3 to 4 months from filing to judgment is normal. If it moves faster, great. If it moves slower, don't be surprised.

Key Takeaway: Expect 2-4 months from filing to judgment. Track your hearing date carefully. A missed hearing is usually a dismissed case.

Part 3: File and Succeed in Court

Filing is just the beginning. The real work is preparing a case that makes sense to a judge who knows nothing about your contractor nightmare except what you tell them. This section walks you through the hearing itself — what to bring, how to present your evidence, and how to argue your case in plain language.

Chapter 7: Draft and File Your Claim

Your claim form is your first impression. A messy, disorganized claim tells the judge you haven't prepared. A clear, specific claim tells the judge you know what you're talking about.

What the Claim Form Asks For

Every small claims court form is different, but they all ask for the same basic information:

- **Your name and address**: The plaintiff (that's you).
- **The defendant's name and address**: The contractor or their business.
- **The amount you're claiming**: From your loss worksheet in Chapter 1.
- **A description of what happened**: Brief, factual, chronological.

Writing the Description: The Formula

When you write the description of what happened, use this formula:

"[Date]: I hired [contractor name] to [description of work] for $[amount]. I paid $[deposit amount] on [date]. The contract stated work would begin by [date] and be completed by [date]. [Contractor] did not begin work by [date]. On [date], I contacted [contractor] about the delay. [Contractor] [their response or excuse]. On [date], [contractor] [additional broken promises or failure to respond]. I have not been able to reach [contractor] since [date]. I am owed $[total loss] for the deposit paid and costs incurred."

This is factual, chronological, and gives the judge everything they need to understand your case. No emotion, no accusations, no "they're a crook" — just what happened and what you want.

Common Mistakes to Avoid

- **Don't write a novel**. Stick to one page, maximum. Judges read dozens of these a day.
- **Don't exaggerate**. If the judge thinks you're overstating your claim, you lose credibility on everything.
- **Don't leave out key facts**: Payment amount, date, what was promised, what wasn't delivered.
- **Don't forget the defendant's full legal name**. If you don't know it, you can look it up on your state's business entity search (usually on the Secretary of State website).

Filing: The Process

1. Download the form from your court's website (search "[your county] small claims court forms").
2. Complete it in advance — don't try to fill it out at the clerk's window.
3. Bring two copies: one for the court, one for your records.
4. Pay the filing fee. Get a receipt.
5. Ask the clerk: "What happens next? When will I receive the hearing date? How do I arrange service?"

The clerk's job is to process your filing, not to advise you on your case. But they can tell you the procedural steps.

Key Takeaway: Complete your claim form with the facts, chronologically, in one page or less. Use the formula above. File it, pay the fee, and immediately start preparing for what comes next.

Chapter 8: Serve the Defendant Properly

Filing without proper service is like sending a letter to an address that doesn't exist. The court has no jurisdiction if the defendant wasn't properly notified. This is where people make costly mistakes.

The Three Methods of Service

1. **Personal service**: Someone physically hands the summons to the defendant. This is the gold standard. It can be done by the sheriff, a constable, or a private process server.
2. **Pros**: Undeniable proof of service.
3. **Cons**: Can be hard to accomplish if the defendant is avoiding service.
4. **Service by certified mail**: The court mails the summons to the defendant's address, and they sign for it.
5. **Pros**: Cheap and easy.
6. **Cons**: Only works if the defendant actually signs. If they refuse or ignore it, you're back to personal service.
7. **Substituted service**: When personal service isn't possible, some courts allow leaving the summons with a competent adult at the defendant's residence or place of business, along with mailing.
8. **Pros**: Useful when defendants are avoiding service.
9. **Cons**: More complex and requires court approval.

The Process Server Decision

Most counties offer sheriff service at low cost (sometimes free). However, sheriff offices are often backed up and slow. Private process servers cost more ($50-$100) but are faster and more persistent. They know how to find people and how to serve someone who's avoiding service.

If you're dealing with a contractor who has disappeared, a private process server may be worth the investment. They can try multiple times, at different times of day, and can sometimes locate the defendant's workplace or other addresses.

Proof of Service

When service is completed, whoever served the papers will complete a "proof of service" or "affidavit of service" form. This is your evidence that the defendant was properly notified. File this with the court clerk — don't lose it. You may need it at the hearing to prove the court had jurisdiction.

If Service Fails

If the process server can't locate the defendant, or if service is returned unopened, you need to find another address. This might mean:

- Hiring a skip tracer
- Checking social media
- Asking neighbors
- Using the business registration on file with the state

If the contractor has truly vanished and you cannot effect service, consult the clerk about alternatives — some courts allow publication of notice in certain circumstances.

Key Takeaway: Service isn't optional. Without proper service, your case goes nowhere. Use a private process server if sheriff service is slow. File the proof of service immediately.

Chapter 9: Prepare Your Case for the Hearing

This is where most people undersell themselves. They show up with a general sense of injustice, no organization, and no idea what to say. You can do better.

The Week Before: Organize Your Evidence

Create a hearing binder with tabs:

1. **The contract** (or texts/emails establishing the agreement)
2. **Proof of payment** (receipts, bank statements, check images)
3. **All communications** (print the text conversation, email thread, or voicemail transcription — organized chronologically)
4. **Photos** (of the unfinished work, the property, any relevant damage)
5. **Your loss worksheet** (calculated total from Chapter 1)
6. **Your timeline of events** (one-page summary of what happened and when)
7. **Copies of your filed claim** and proof of service

You don't need to bring everything. But you need to be able to find it quickly if the judge asks for it.

The Day Before: Prepare Your Statement

You will get to speak. The judge will ask "What happened?" and you need to answer clearly and concisely. Practice this:

"Your Honor, I hired [contractor name] on [date] to [type of work] at my property at [address]. I paid a deposit of $[amount] on [date]. According to our agreement, work was to begin by [date] and be complete by [date]. [Contractor] did not begin work. After [number] attempts to contact them, they [their response or silence]. I am owed $[total loss] for the deposit and costs I incurred trying to resolve this matter."

Practice saying this out loud. Say it to your mirror, your spouse, your dog. Get comfortable with it.

What to Bring to Court

- Government-issued photo ID
- Your hearing binder with organized evidence
- The original contract (if you have one)
- Copies of your filed claim
- Proof of service
- Any witnesses (more on this below)

- Pen and paper for notes
- Water and patience — hearings can run late

Presenting Your Evidence: The Right Way

When you present evidence, don't just hand it to the judge and expect them to understand. Explain it:

"Your Honor, I'd like to enter into evidence Exhibit A — this is a text message exchange from [date], showing [contractor name] confirming they received my $[amount] deposit and promising to begin work on [date]. You can see the messages are from [their phone number], which matches the phone number on their business card."

In small claims court, you are not required to follow the formal rules of evidence that apply in regular civil trials. You simply need to show the judge why you're owed money. But presenting your evidence clearly and logically helps the judge follow your story.

If You Have Witnesses

A witness can be anyone who saw what happened — a neighbor who saw the contractor never show up, a family member who heard your phone calls with the contractor, another homeowner who was also defrauded by the same contractor.

Contact your witness in advance. Tell them the hearing date, time, and location. Ask them to come prepared to describe what they saw. If the witness is unwilling to come to court, you can ask them to provide a written statement, but live testimony is more persuasive.

How to Handle the Defendant's Arguments

The contractor may show up and say:

- "I never got the money." → You show the bank statement, the check image, or the receipt.
- "The weather was bad." → You note that the delay far exceeds any weather delay, and other contractors were working.
- "I tried to call you." → You show the text messages where they never responded to your calls.

- "You owe me for materials I bought." → If they have a legitimate counterclaim, the judge will weigh it. But if they never did the work, their costs aren't your problem.

You don't need to be aggressive. You just need to be factual. "Your Honor, I have bank records showing the payment cleared on [date]. I also have text messages from [contractor] on [date] confirming receipt of the deposit. I have no records of any materials purchased for my project."

Key Takeaway: Organize your evidence. Practice your statement. Present it clearly. The judge wants to understand what happened — make it easy for them.

Part 4: Collect Your Judgment

You won. The judge signed the order, and you have a judgment for $X. Congratulations. Now comes the hard part: actually getting the money.

Chapter 10: After the Win — Securing and Enforcing the Judgment

A judgment is a piece of paper. It says the contractor owes you money. But it doesn't guarantee payment. Many contractors don't pay voluntarily. Here's how to turn a judgment into actual money.

Step 1: Get the Written Judgment

Ask the clerk to provide a certified copy of the judgment. This is an official document with the court seal. You may need multiple certified copies — for example, one to record with the county recorder, one to file with the DMV if you're trying to suspend their license, and one to keep safe.

Step 2: Record the Judgment

In most states, you can record your judgment with the county recorder's office (the same place that records property deeds). This creates a lien on any real property the contractor owns. If they ever sell their house, your judgment will need to be paid from the proceeds.

Recording costs a small fee (usually $15-$50). It's one of the most powerful tools you have — a recorded judgment follows the person.

Step 3: Find the Defendant's Assets

Now you need to know what the contractor actually has. Options:

- **Bank levies**: With a judgment, you can serve a "garnishment" or "levy" on their bank, telling the bank to freeze their account and send funds to you. You need to know where they bank — this may require investigation.
- **Wage garnishment**: If they have a regular employer, you can serve a wage garnishment order. The employer must withhold a portion of their paycheck and send it to you.
- **Vehicle seizure**: If you know what car they drive, you can sometimes arrange for its seizure to satisfy the judgment. This requires going through the sheriff.

Step 4: Contact the Contractor One Last Time

Before you start formal enforcement, send a letter (certified mail) that says: "I have a judgment against you for $[amount]. I intend to enforce this judgment through all available legal means. If you would like to pay in full or set up a payment plan, contact me at [your contact information] within 15 days."

This sometimes works. Some people will pay rather than deal with bank levies and wage garnishment. It's a last reasonable offer.

Chapter 11: When They Don't Pay — Tools and Tactics

If the "please pay" letter doesn't work, it's time to use the legal tools available.

The Asset Search

Before you can garnish a bank account, you need to know where they bank. Options:

- **Bank records from your own experience**: Did they ever show you a check with their routing and account numbers? Did they give you a voided check for the deposit? You may have more information than you realize.
- **Public records**: Some states make business registration records public, which sometimes include banking information.
- **Discovery process**: In some states, you can file post-judgment discovery — a formal request for the defendant to disclose their assets. They must respond under oath. This is powerful if they comply.

Working with the Sheriff

The sheriff can serve wage garnishment orders to employers and can levy bank accounts on your behalf. Contact your local sheriff's office and ask about the process for post-judgment enforcement. There is usually a small fee per service.

License Suspension as Leverage

In many states, contractor licenses can be suspended for unpaid judgments. If the contractor needs their license to work, this is a powerful motivator. Contact your state contractor licensing board and ask how to file a complaint or report an unpaid judgment. This can be more effective than a bank levy.

The Judgment Collection Worksheet

Complete this to plan your enforcement:

1. **Do I know where the defendant banks?** If yes, which bank? _. **If no, what are my options? _.**
2. **Do I know who the defendant works for?** If yes, who? _. **If no, what are my options? _.**
3. **Do I know if they own real property?** If yes, where? ____. (If you recorded the judgment, it creates a lien.)
4. **Can I suspend their license?** Contact: ____.
5. **What is my enforcement budget?** If enforcement costs exceed expected recovery, it may not be worth it.

Chapter 12: Knowing When to Walk Away

Here's the part of the guide no one wants to write but everyone needs to read: sometimes you don't get your money back.

It happens. The contractor is judgment-proof — no job, no bank account, no assets, no license to suspend. They vanish into the gig economy, change their name, or simply accept that you can't squeeze blood from a stone.

The Threshold Question

Ask yourself: **Is there any realistic path to collection?**

- Do they have a job with regular income? → Yes: wage garnishment is viable.
- Do they own real estate? → Yes: judgment lien is viable.
- Are they licensed in a regulated profession? → Yes: license suspension may work.
- Do they have a business with bank accounts? → Yes: business levy may work.

If the answer to all of these is no — if they're genuinely judgment-proof — you need to decide whether the time and money of enforcement is worth it.

The Emotional Calculation

You may feel that "winning" in court doesn't count if you don't collect. But consider:

- A judgment on their record makes future fraud harder
- A reported license suspension protects other homeowners
- Your effort created a record that may help others
- Sometimes, just having the judgment forces a settlement offer you wouldn't have received otherwise

Moving On Without Resolution

If you've done everything in this guide and the money remains unrecovered:

1. **Write off the loss** on your taxes if applicable (consult a tax professional — some fraud losses may be deductible).
2. **Report the contractor** to every relevant body: state licensing board, attorney general, BBB, Google reviews, Nextdoor, local contractor Facebook groups. Make sure the next person knows.
3. **Take the lesson** into your next contractor relationship: smaller deposits, shorter milestones, better vetting.
4. **Let it go** emotionally. Money lost to fraud is a wound. Wounds heal. Don't let an empty judgment follow you forever.

Key Takeaway: Enforce your judgment if there's a path to collection. If there isn't, protect others by reporting the contractor, and protect yourself by moving on. The goal is recovery — and sometimes recovery means closing the book.

Conclusion

You came into this guide with money stolen and a vague sense that there was nothing you could do about it.

You leave with a clear path:

1. **Calculate your loss** and document every dollar.
2. **Preserve your evidence** before it disappears.

3. **File your claim** in the right court, with the right paperwork.
4. **Serve the defendant** properly.
5. **Prepare your case** with organization and clarity.
6. **Win your judgment** — and then enforce it.

Small claims court exists to give people like you a way to recover money without hiring a lawyer. It works. Thousands of homeowners win judgments every year against contractors who took their money and didn't deliver.

Your next step is the most important one: **decide whether you're going to do this.**

If yes, file tomorrow. Start with the demand letter if you haven't done it yet, then file within the week. Every day you delay is a day evidence gets lost and the contractor gets further away.

If you're not ready to file, that's okay — but don't let this sit. Your texts get deleted. Your receipts get misplaced. Your memory of what happened fades. The window for action is now.

This guide pairs with the Action Checklist — a companion document with step-by-step checklists, template letters, and a court preparation worksheet you can print and fill out as you work through each chapter. Check your email for the download link, or grab it from the resource section below.

You have the information. You have the evidence. You have the law on your side.

Now go get your money back.

For state-specific filing limits, forms, and court locations, consult your state's judicial website or visit the county clerk's office in person.